



JKIA - AIRPORT TRADE CENTRE
P.O. Box 40433 - 00100, Nairobi, Kenya
Telephone: (020) 3002371 - 5, Fax: 3002903
Mombasa Branch:
P.O Box 90631, Tel: (041) 2312461-5
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Mombasa

REF: EKL/FN/JN/013 00243

The Chief Executive,
Nairobi Securities Exchange,
Kimathi Street, Nation Centre, 1st Floor,
P.O. Box 43633, Nairobi, Kenya.



30th July 2013

Dear Sir/Madam,

RE: PUBLICATION OF AUDITED RESULTS AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30th JUNE 2013.

The Board of Directors of Express Kenya Limited is pleased to announce the audited results and financial statements for the year ended 30th June 2013.

Basis of preparation

The financial statements have been prepared on the historical cost basis in accordance with International Financial Reporting Standards (IFRS) and the accounting policies have been consistently applied to all the years presented, unless otherwise stated.

Audit opinion

The financial statements were approved by the board on **29 April 2013** and were audited by PKF Kenya and received an unqualified opinion.

Performance

The Company has had a challenging year due to both internal and external factors leading to the decline in performance as shown by the results.

The Company has continued with the hiring out of its trucks and workshop, a move that has seen it stabilize its' revenue base.

There has also been reduced activities in the core business but the Company is happy to report increases in the other alternative business segments.

The reduction in finance costs has also been significant. This has been through settlement of expensive facilities due to high interest rates.

By year end the Company will be in a very stable financial position.

Future outlook

As agreed upon in the last Annual General Meeting, the directors are happy to report that the shareholders agreement to utilize the Company's fixed assets towards the real estate sector is in full gear. Plans have formed shape with regard to the project with specialists and other professionals expressing their interest to take part in the project.

N.B: The Company's prime activity in transport and logistic business shall still continue in operation.

Dividend

The directors do not recommend the declaration of a dividend for the year.

By order of the board



Dr. Chris Obura
Chairman



Mr. Hector Diniz
Chief Executive Officer

STATEMENT OF FINANCIAL POSITION

	Unaudited 6 months to 30 June 2013 Shs '000	Audited 12 months to 31 December 2012 Shs '000
ASSETS		
Non-current assets	396,730	439,092
Current assets	116,770	63,985
TOTAL ASSETS	<u>513,500</u>	<u>503,077</u>
EQUITY AND LIABILITIES		
Share capital	177,019	177,019
Share premium	10,502	10,502
Reserves	21,377	15,313
Shareholders' funds	<u>208,898</u>	<u>202,834</u>
Non-current liabilities	152,279	135,831
Current liabilities	152,323	164,412
Total liabilities	<u>304,602</u>	<u>300,243</u>
TOTAL EQUITY AND LIABILITIES	<u>513,500</u>	<u>503,077</u>

STATEMENT OF CHANGES IN EQUITY

Period ended 30 June 2013

	Share capital Shs '000	Share premium Shs '000	Revaluation reserve Shs '000	Retained (deficit) Shs '000	Total equity Shs '000
At start of year	177,019	10,502	86,797	(71,484)	202,834
Total profit for the period	-	-	-	6,064	6,064
At end of period	<u>177,019</u>	<u>10,502</u>	<u>86,797</u>	<u>(65,420)</u>	<u>208,898</u>

STATEMENT OF PROFIT OR LOSS

	Unaudited 6 months to 30 June 2013 Shs '000	Audited 12 months to 31 December 2012 Shs '000
Revenue	235,457	229,908
Direct costs	<u>(195,404)</u>	<u>(312,535)</u>
Gross profit/(loss)	40,053	(82,627)
Other operating income	4,031	197,731
Administrative expenses	(20,949)	(68,698)
Other operating expenses	<u>(11,871)</u>	<u>(29,664)</u>
Operating profit	11,264	16,742
Finance costs	<u>(5,200)</u>	<u>(29,754)</u>
Profit/(loss) before tax	6,064	(13,012)
Tax credit	<u>-</u>	<u>26,263</u>
Profit for the period/year	<u>6,064</u>	<u>13,251</u>
Earnings per share		
Basic and diluted earnings per share	<u>Shs. 0.17</u>	<u>Shs. 0.37</u>

STATEMENT OF CASH FLOWS

	Shs '000	Shs '000
At start of year	(5,404)	(205,991)
Net cash from/(used in) operating activities	22,202	(4,820)
Net cash from investing activities	3,450	245,183
Net cash (used in) financing activities	(13,146)	(42,472)
Effect of exchange rate changes	<u>(290)</u>	<u>2,696</u>
At end of period/year	<u>6,812</u>	<u>(5,404)</u>



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The Chief Executive,
Nairobi Securities Exchange,
Kimathi Street, Nation Centre, 1st Floor,
P.O. Box 43633, Nairobi, Kenya.



30TH June 2013

Dear Sir/Madam,

RE: NOTICE OF THE ANNUAL GENERAL MEETING.

Kindly view the attached documents. It contains the particulars of the company's Annual General Meeting.

The said meeting shall be held at Eka Hotel on Friday the 27th of September starting at 11:00am.

By order of the board

Dr. Chris Obura
Chairman

Mr. Hector Diniz
Chief Executive Officer

C.c. The Chief Executive,
Capital Markets Authority

DRAFT

EXPRESS KENYA LIMITED

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the Forty-Second Annual General Meeting of the Company will be held at Eka Hotel, along Mombasa Road, Nairobi on Friday, 27 September 2013 at 11.00 a.m. to transact the following business:

1. To table the proxies and to note the presence of a quorum.
2. To read the notice convening the meeting.
3. To confirm the minutes of the Forty-First Annual General Meeting of the Company held on 21 September 2012.
4. To receive, consider and adopt the Audited Financial Statements for the year ended 31 December 2012 together with the Chairman's Statement and the reports of the Directors and Auditors thereon.
5. To note that the Directors do not recommend payment of a dividend (2011: nil) in respect of the financial year ended 31 December 2012.
6. To approve the Directors' fees as stated in the Audited Financial Statements for the year ended 31 December 2012.
7. To re-elect Directors:-
 - i) Mr Nazir Sayani who was appointed a director during the year, retires in accordance with Article 90 of the Company's Articles of Association and, being eligible, offers himself for re-election
 - ii) Dr C W Obura retires in accordance with Article 113 of the Company's Articles of Association and, being eligible, does not offer himself for re-election.
8. To note that PKF Kenya continue in office as Auditors to the Company by virtue of section 159 (2) of the Companies Act (Cap. 486) and to authorise the Directors to fix their remuneration for the ensuing financial year.
9. Any other business of which due notice has been received.

BY ORDER OF THE BOARD

EQUATORIAL SECRETARIES AND REGISTRARS SECRETARIES

Date: **25 July 2013**

Note: A member entitled to attend and vote at the above meeting is entitled to appoint one or more proxies to attend and vote on his or her behalf. A proxy need not be a member. To be valid, a form of proxy which is attached to this notice must be duly completed and signed by the member and must either be lodged at the Registered office of the Company, Express House, Road A, off Enterprise Road, P O Box 40433-00100, Nairobi or with the Company Secretaries, Equatorial Secretaries and Registrars, Kalamu House, Grevillea Grove P O Box 47323, 00100-Nairobi, so as to reach not later than 11.00 a.m. on 25 September 2013.